bestoasis

Recycling with the Best

Weekly Ship Recycling Report

17 August - 23 August 2024

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Highlights of the week

Ship recycling markets across key regions are experiencing a prolonged downturn, marked by consistently low sentiment and declining activity. In India, the steel market remains sluggish, with no improvement seen recently, and while there is some cautious hope for recovery after the monsoon season, uncertainty persists. Bangladesh is grappling with significant political and economic instability, creating a challenging environment and causing daily declines in market values. Pakistan's market shows no signs of recovery, with falling steel prices and minimal interest in tonnage. Turkiye is also facing a downturn, with both local and imported scrap prices dropping, and buyers are hesitant, expecting further declines. Overall, the ship recycling industry is navigating a tough period with widespread uncertainty and limited prospects for immediate improvement.

India’s cabinet is soon expected to vote on a transformative shipbuilding policy aimed at strengthening the country’s role in the global shipbuilding and ship recycling sectors. The proposed policy includes a Recycling Credit Note Scheme that offers fleet owners a 40% credit on the scrap value for ships dismantled in Indian yards. This incentive could significantly shift industry dynamics, making India a major hub for ship recycling and potentially drawing business away from other countries. By linking ship recycling with new vessel construction, the policy is designed to create a sustainable cycle, boosting both sectors and fostering substantial growth and innovation in India's shipbuilding industry.

Exchange Rates:

USD / INR ₹

This Week	:	83.85
Previous Week	:	83.95
Gained	:	0.10

USD / BDT ৳

This Week	:	119.55
Previous Week	:	117.65
Lost	:	1.85

USD / PKR Rs

This Week	:	278.92
Previous Week	:	278.48
Lost	:	0.44

USD / TRY ₺

This Week	:	33.99
Previous Week	:	33.69
Lost	:	0.30

India

Ongoing local market stagnation and rising imports continue to create pressures.

- Market sentiment has been consistently low for a prolonged period, with no improvement seen this week.
- The local steel market remains in a slump, contributing to the overall negative outlook.
- While market participants hold some hope for a recovery after the monsoon season, this optimism is cautious and remains uncertain.
- The IMF projects that India's economy could reach $55 trillion by 2047, assuming an 8% average real growth rate and 5% inflation. Since 2014, new firm creation has surged, making India the third-largest entrepreneurial ecosystem, which will drive productivity growth in the formal sector.

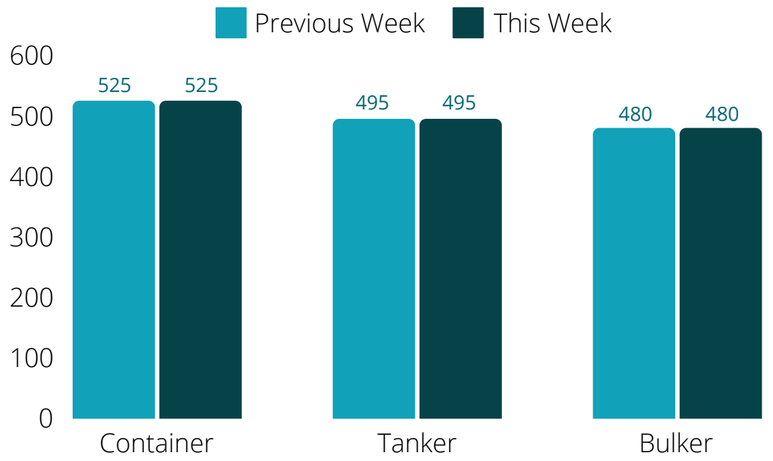
Beaching Dates

23 August to 26 August 2024

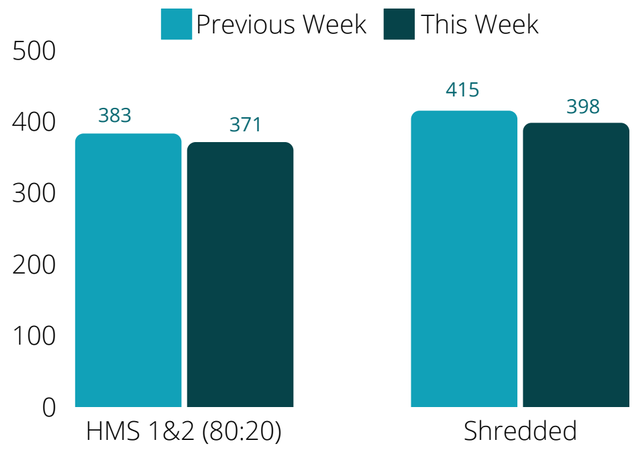
31 August to 06 September 2024

15 September to 24 September 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Market uncertainty and political turmoil create ongoing instability for recyclers and participants.

- The market is currently plagued by a significant lack of clarity among recyclers and other participants, primarily due to ongoing political and economic turmoil. These challenges have created an environment of uncertainty, making it difficult for stakeholders to navigate and make informed decisions.

- The market is experiencing a daily decline of approximately 3 to 4 USD.

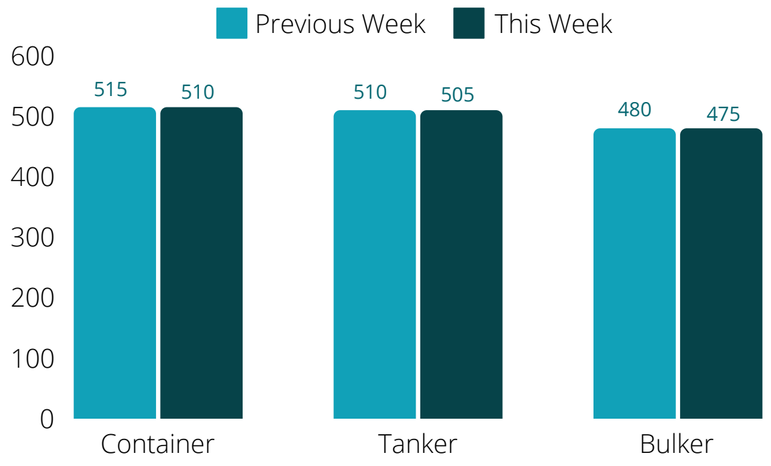
- With the ongoing changes in leadership across all departments, including at the district level, this situation is likely to persist for some time. It may take around 1 to 2 months before the future trajectory of the market becomes clear.

- The situation in Bangladesh appears to be quite severe. Intense rainfall has caused significant flooding in low-lying regions of Bangladesh and northern India, forcing the evacuation of nearly 190,000 people to emergency shelters. Eleven districts have been impacted, with Feni, situated 100 km northwest of Chittagong, experiencing the most severe damage.

Beaching Dates

02 September to 05 September
17 September to 20 September
01 October to 04 October

Price for Recycling Ships in Bangladesh



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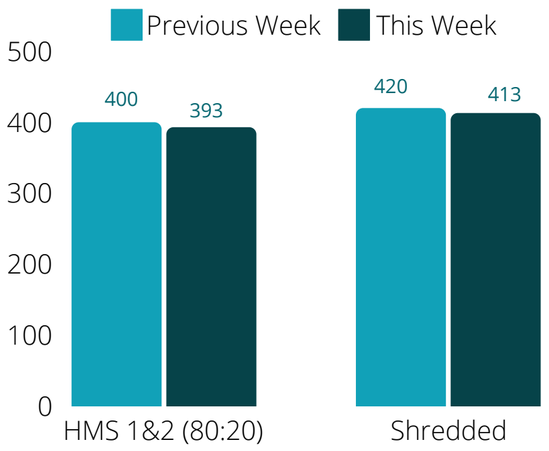


Pakistan

Market struggle with declining steel prices and low tonnage demand amid uncertainty.

- The markets continue to struggle, showing no signs of recovery. Local steel prices are also on a downward trend, further contributing to the overall decline. Currently, there is little to no interest in tonnage, reflecting the widespread uncertainty and lack of demand.

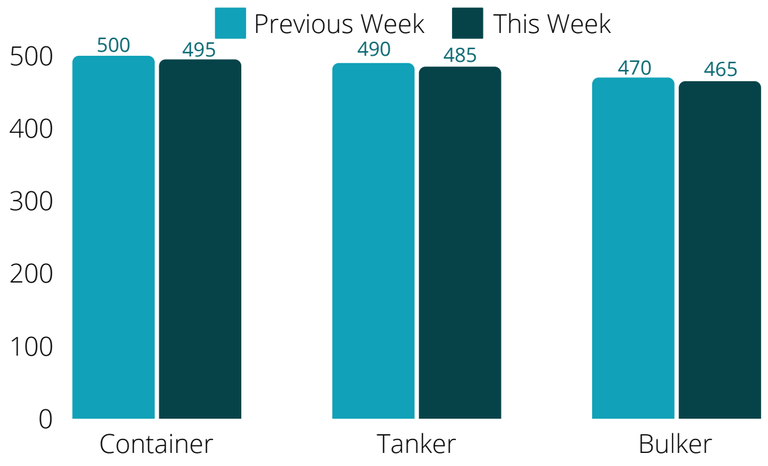
- Millions of Pakistanis are facing persistent internet issues, disrupting basic communication. These ongoing disruptions threaten billions in economic losses, leading telecom operators to urge the Prime Minister's intervention, while the IT Minister and PTA Chairman missed a crucial Senate meeting on the matter.

- Pakistan is in talks with Middle Eastern banks to borrow around USD 4 billion as part of the USD 7 billion IMF Extended Fund Facility. The country expects to borrow a total of USD 20 billion this fiscal year, but faces challenges due to high financing costs and a low credit rating.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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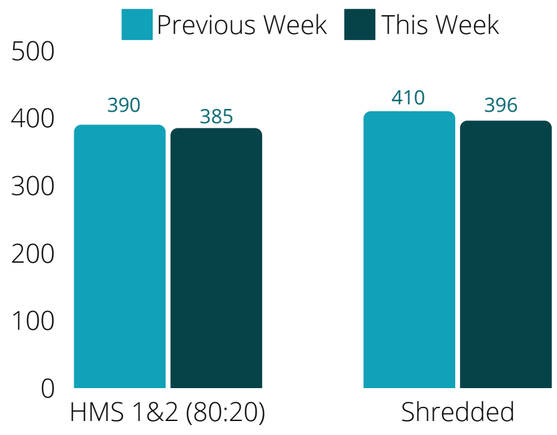
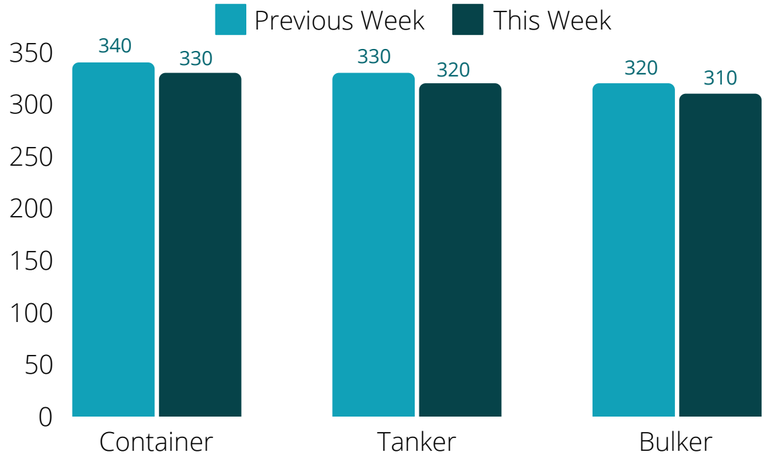


Türkiye

Market sees price decline and slowed activity amid ongoing downturn.

- The market has seen both local and imported scrap prices decrease by 10 USD per ton, continuing a depressed trend.
- Buyers are showing reluctance to purchase, expecting prices to decline further, resulting in very slow activity.
- Turkey's central bank is expected to keep the one-week repo rate at 50% for the fifth consecutive month, with a focus on liquidity management and signs of economic slowdown.

Price for Recycling Ships in Türkiye



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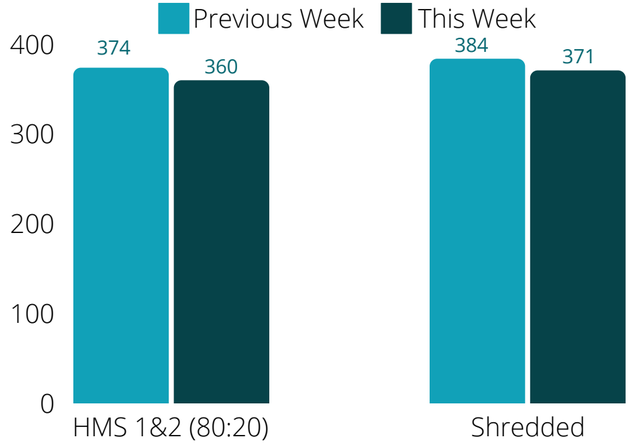
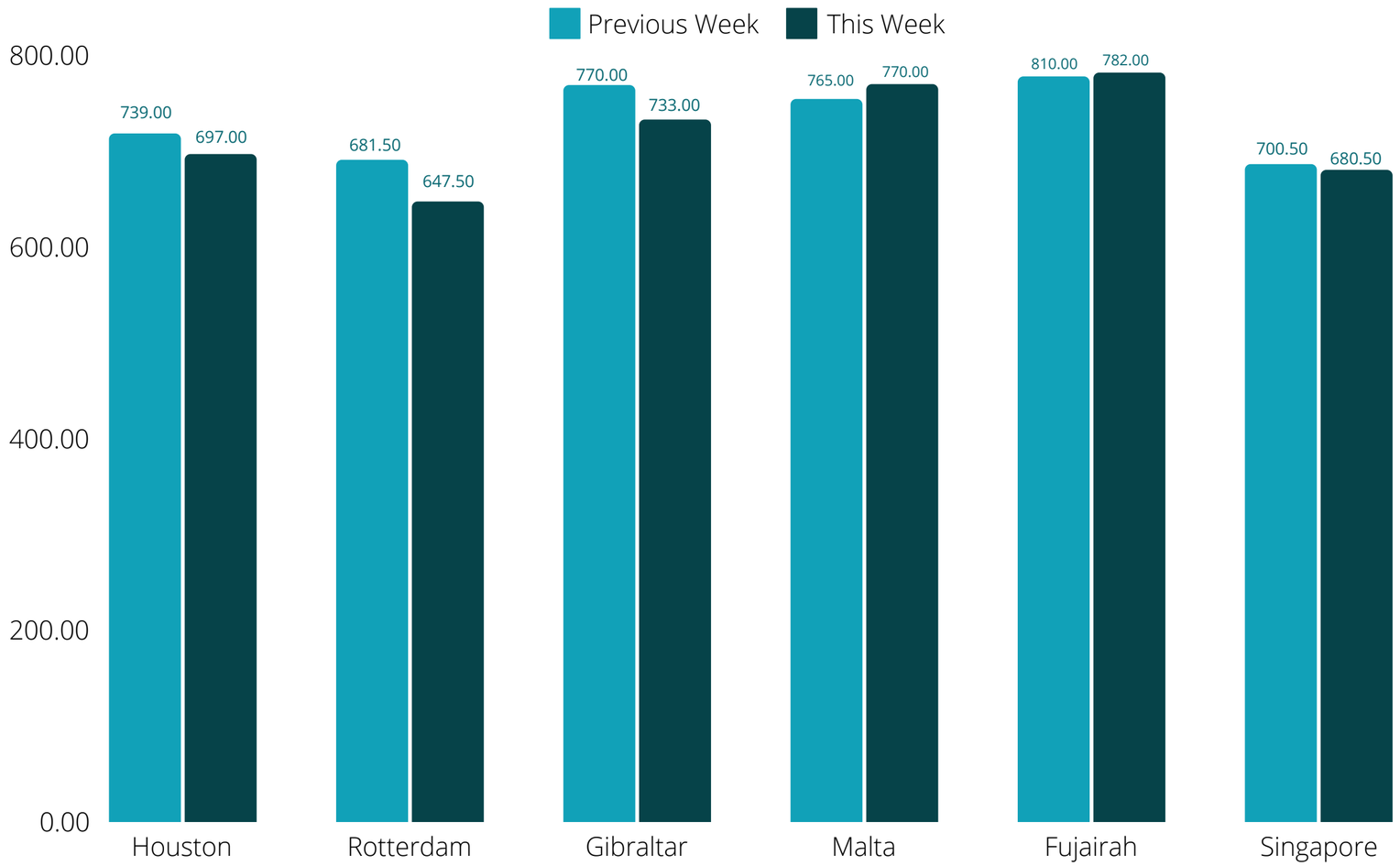


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 76.35
Previous Week	: 80.10
Movement	: - 3.75

WTI Crude

This Week	: 72.11
Previous Week	: 77.10
Movement	: - 4.99

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
NAHIDE M	BULKER	9116319	1995	JAPAN	6,984	DELIVERED	CHITTAGONG,BANGLADESH	510
ZHAO 11	BULKER	8661745	2005	CHINA	2,890	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
SOLA GRATIA	CEMENTCARRIER	8506581	1985	JAPAN	2,052	DELIVERED	CHITTAGONG,BANGLADESH	470

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